

Risk management means managing the worst-case scenarios of the trades that we are involved in at any moment and making sure that even the worst-case scenario does not risk our survival in the market. It should not force us out of the market or even worse, into bankruptcy. We ask ourselves weird questions and then see if our trading portfolio will survive these or not. If the answer to any of it is no, we need to improve our risk management.

What if our country
gets announces a war
today?

What if a very senior
leader dies
somewhere on the
planet?

What if there is
Nuclear attack
somewhere in the
world?

What if there is a
major scam unearthed
tomorrow?

